GMS WEEKLY

Your Source for Recycling News

September 1st, 2023
Volume 253, Issue 1098
Week 35

Highlights:

- **Optimism glimmers.**
- **Pak sales.**
- **Indian hopes.**
- **Global steel boon.**
- **Bangla out.**
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QUOTE of the WEEK

"Goal setting is the secret to a compelling future."

– Tony Robbins

MARKET COMMENTARY

FOURTH QUARTER POSITIVITY!...?

A glimmer of optimism seems to have been aroused in the sub-continent ship recycling markets this week, as several units were reportedly concluded to optimistically fervent Cash Buyers (at increasingly firmer levels) who are perhaps eager to book tonnage pre-Monsoon end, in order to potentially satiate some of the forthcoming increase in demand from the sub-continent markets once the traditionally busy year-end / Q4 kicks in.

Several sales have reportedly been confirmed into Pakistan over the last month (a couple of units have even greeted Gadani's waterfront this week), especially as L/C approvals are now (precariously) coming through for some of the tier-1 Recyclers in Gadani, where capacity and demand has been steadily fermenting for a better part of the year.

India too has seen some positive spikes in domestic steel plate prices this week, and with next week's G20 nations conference that is scheduled to meet in India, positive announcements on infrastructure projects / developments are expected to be announced that should further boost the country's economy and global footprint.

Indeed, global steel plate prices have firmed up by about 2% over this past week, reportedly off the back of Chinese measures to boost the housing market (lowering mortgage rates for the first time for domestic home buyers) and to support the Renminbi (the official currency of the People's Republic of China).

Only in Bangladesh have plate prices remained stranded / flatlined in the doldrums for yet another week, as no serious offers on vessels have emanated from local Recyclers as a result. Moreover, foreign currency / U.S. Dollar reserves are still struggling to being balanced by the powers that be (invariably leading to tougher limits to open L/Cs) and End Buyers who still believe they can secure bargain deals closer to USD 450/LDT (in vain, if we may add).

The reality is that with India and Pakistani markets picking up again amidst some much-needed (and traditional) fourth quarter positivity flowing into the market, Bangladesh could be set for an extended spell on the sidelines whilst such poor offerings and sentiments persist locally. Finally, Turkey remains stable and unchanged since last week.

For week 35 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan*	Improving	520 / LDT	540 / LDT	560 / LDT
2	India	Improving	510 / LDT	530 / LDT	550 / LDT
3	Bangladesh*	Weak	480 / LDT	500 / LDT	520 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

FAR FROM ACTION!

Uncompetitive.

Bangladesh remains far from the action and unrealistically uncompetitive at present, especially as India and Pakistan have come roaring back over the past few weeks, and that too with some particularly impressive numbers and acquisitions.

Gone are the days of Bangladesh securing distressed sales below USD 500/LDT and even though several Bangladeshi Recyclers have managed to book some favorably-priced deals over the past couple of months, any Far Eastern tonnage that was recently committed and expected to arrive Bangladesh's waterfront, now looks set to head towards competing shores – so disastrous have offers and prices been from this market.

Marginalised.

As local steel plate prices continue to flatline for weeks (even months) on end, the Bangladeshi Taka continues to weaken and is currently dangling at record highs against the U.S Dollar, grooving around at levels above BDT 109.10.

Going into September / post-monsoon and with the recent influx of cheaper Chinese tonnage resulting in numerous local yards filling up once again and despite L/C limits being satisfied once again - it is expected that this market may remain on the sidelines for the foreseeable future, at least until some greater demand, stronger sentiments / pricing, and some more re-assured performance on L/Cs is witnessed.

NO MARKET SALES REPORTED

INDIA

BACK TO BIZ!

In conjunction with a re-emerging Pakistani market, India managed to get back to business this week and secure several much-needed sales, that too at some decent numbers at last.

Securing sales.

Container prices for recycling seem to be taking off once again, just as an influx of tonnage (including for HKC resale) starts to re-enter the markets once again. Moreover, even fundamentals seem to be elevating local sentiments as steel plate prices firmed by about USD 12/Ton, while the Indian Rupee continues to dance around the mid Rs. 82x against the U.S. Dollar.

Container sold.

Bearing this in mind, Norse of Singapore controlled feeder container vessel CHERRY (6,499 LDT) was fixed for a decent USD 545/LT LDT basis an 'as is' Singapore delivery, with 350 Tons of bunkers included in the sale, and basis a full range HKC resale only.

If this is the sign of things to come, it certainly seems as though some of the redline deals concluded over the last month (of two) that are still unsold to a Recycler, may finally have the opportunity to minimize losses, if not break even entirely.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
CHERRY	Container	6,499	USD 545/LT LDT ('as is' Singapore with 350 Ts bunkers)

PAKISTAN

SUCCESS STORY!

Best numbers.

Pakistan has been the success story over the past month, with some of the best numbers on show across the sub-continent emanating from this market, and slowly but surely, L/C approvals coming back at pace, especially for certain cash-rich Recyclers who are able to deposit close to 100% cash margins with their banks.

Bulker books big.

Such was reportedly the case with the most notable sale of many this week that was confirmed to a Gadani Recycler, as the Italian built bulker SOTIRIA (11,588 LDT) was concluded for a firm USD 545/LT LDT. This follows last week's sale of bulker GLORIA 1 (11,259 LDT) that was also committed to Pakistan, for a healthy USD 525/LT LDT.

Gadani's anchorage too dusted off the cobwebs this week, as not one but two vessels greeted the waterfront, further adding to the efforts being made by local Recyclers, in order to get back into the game.

Pakistani fundamentals, however, remain the dichotomy for this market, especially as Pakistani steel plate prices remain dead for several quarters now, while the Pakistani Rupee collapses past PKR 300, ending the week past PKR 305 against the U.S. Dollar.

As business gears grind into action after nearly 7 months on the sidelines, it may certainly be slow going at first, especially as L/C approvals are sought for any large LDT and higher value vessels. However, it is good to see Pakistan finally get back into the mix, especially after various political, economic, and fiscal turmoil witnessed by the country over the last year or so, and we can only hope for more deals moving forward.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SOTIRIA	Bulker	11,588	USD 545/LT LDT

TURKEY

STABLE SPACE!

As the rest of the sub-continent markets seem to be gaining momentum with the fresh introduction of tonnage, in addition to Owners and Cash Buyers starting to bite the bullet with current prices, the theme seems to have extended to Turkey where news of units being proposed finally came forth this week.

New Units.

As fundamentals entered a steady / stable space and the Lira remains suspended in the mid TRY 26s against the U.S. Dollar, the introduction of units at a time when prices have remained stable for several weeks now should hopefully garner some quick sales into Aliaga.

Back to the tables.

September maybe the month that all markets, including Turkey, shake off the rust and return back to the tables.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *About 80 percent of the world's fresh water originates in the mountains.*
- *The tallest mountain in the world is Mount Everest, which is 29,029 feet high. The tallest mountain in the known universe is 84,480 feet high.*
- *The world's highest unclimbed mountain is Gangkhar Puensum in Bhutan. It is 24,982 feet tall, and it is the 40th tallest mountain in the world.*
- *If Mount Kea in Hawaii were measured from it's base under the ocean, it would be four thousand feet taller than Mount Everest.*
- *Because of the constant movement of the tectonic plates on the Earth's surface, Mount Everest grows four millimeters taller every year.*
- *About one third of the Earth's land surface is covered by deserts, or partial deserts.*
- *The largest desert in the world is found in Antarctica. (It doesn't have to be hot to be considered a desert. It simply has to lose more moisture than it gains.)*
- *In the Atacama Desert in Chile, there are parts where it has never rained (or at least not that has been recorded). Some scientists believe that some of these portions have been deserts for 40 million years.*
- *There are still farmers in the Atacama Desert. The population there is 1 million*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
August 31 – Raksha Bandhan September 06 – Janmashtami	August 28 – September 06 September 14 – September 20 September 26 - October 05

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
September 06 – Janmashtami September 28 - Eid-e-Milad-um-Nami	August 30 – September 02 September 14 – September 17 September 08 – October 01

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 29 – Mid-Autumn Festival	September 28 - Eid-e-Milad-um-Nami	August 30 – Victory Day **No Holidays in September**

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ALANG - Port Position as of September 01, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Lila Ningbo	24,181	Bulk Carrier	Beached August 31
2	Maersk Patras	12,400	Container	Beached August 29
3	One Happy	7,726	Bulk Carrier	Arrived September 01
4	Sein Star	2,198	Reefer	Beached August 30
5	Sinokor Akita	4,672	Container	Arrived August 29
6	Sinokor Tian Jin	4,672	Container	Beached August 31
Total Tonnage		55,849		

CHATTOGRAM - Port Position as of September 01, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Fine Star	9,859	Bulk Carrier	Arrived August 31
2	Harin Navee 7	698	General Cargo	Arrived August 23
3	Harmonia	9,738	Woodchip Carrier	Arrived August 30
4	Jabal Ali 5	5,965	RoRo / Cargo	Arrived August 30
5	Jen Z	10,784	Bulk Carrier	Beached August 31
6	Lauren Ocean	8,400	Bulk Carrier	Arrived August 31
7	Lucky 3	1,042	General Cargo (Other)	Beached August 26
8	Ocean Success	10,163	Bulk Carrier	Arrived August 31
9	Sol Hind	7,852	Container	Beached September 01
10	Thida 7	6,232	Container	Beached September 01
11	Wellwin	8,940	Bulk Carrier	Beached August 31
12	Xiang He	9,016	General Cargo	Beached September 01
13	YuaN Tu	3,495	General Cargo	Arrived August 31
14	Zen G	10,750	Bulk Carrier	Beached September 01
Total Tonnage		102,933		

GADANI - Port Position as of September 01, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Chang Min	9,483	Bulk Carrier	Arrived August 26
2	Sun Shine	10,317	Bulk Carrier	Arrived August 28
Total Tonnage		19,800		

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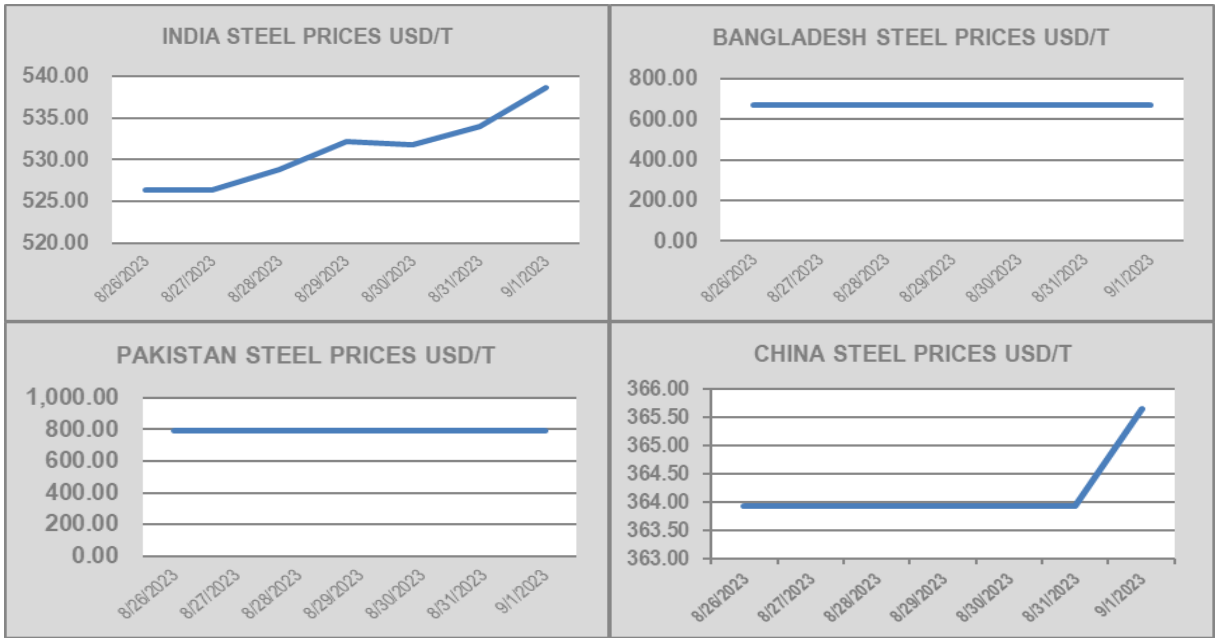
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/26/2023	526.32	43,500.00	794.22	220,000.00	672.81	73,000.00	363.93
8/27/2023	526.32	43,500.00	794.22	220,000.00	672.81	73,000.00	363.93
8/28/2023	528.86	43,700.00	794.22	220,000.00	672.81	73,000.00	363.93
8/29/2023	532.17	44,000.00	794.22	220,000.00	672.81	73,000.00	363.93
8/30/2023	531.85	44,000.00	794.22	220,000.00	672.81	73,000.00	363.93
8/31/2023	533.95	44,200.00	794.22	220,000.00	672.81	73,000.00	363.93
9/1/2023	538.69	44,550.00	794.22	220,000.00	672.81	73,000.00	365.66



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